

US equities rally on strong earnings and easing inflation expectations

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 closed at 7,656.98, up **+0.86%**, as earnings beat expectations across technology and consumer discretionary, while the VIX fell to 15.84 (**-11.21%**), signaling reduced risk aversion. Behind the headline gains, the market is pricing in a slower-than-expected slowdown in core inflation, keeping the 10-year Treasury yield under 5% and leaving room for a modest Fed rate-cut later in the year.

However, the rally is built on thin volume and a narrow set of large-cap winners. The Nasdaq 100's **+0.91%** advance was led by **AAPL** and **AMZN**, while defensive sectors lagged, hinting at a potential pull-back if earnings momentum wanes or macro data surprise to the downside.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,656.98	+0.86%	Broad earnings beat; inflation data eased
Nasdaq 100	29,368.44	+0.91%	Tech earnings strength; lower VIX
Dow Jones	52,573.29	+0.98%	Industrial earnings; weaker dollar
Russell 2000	2,903.94	+0.45%	Small-cap resilience on consumer spending data
VIX	15.84	-11.21%	Reduced volatility after strong equity gains
10Y Yield	4.97	+0.63%	Yield curve flattening; Fed expectations unchanged
WTI Crude	100.05	-2.37%	OPEC+ production forecast lift
Gold	4,366.20	+0.04%	Safe-haven demand muted by equity rally
DXY	99.12	+0.03%	Dollar steadied on Fed pause expectations

Top large-cap movers

TICKER	CHANGE	CATALYST
AMZN	+1.94%	Q3 revenue beat; cloud margin expansion
AAPL	+1.75%	iPhone 17 launch; services growth
GOOGL	+1.77%	Ad-tech recovery; AI licensing revenue
GS	+0.92%	Investment banking fees beat
JPM	+0.76%	Net interest income rose
META	+0.57%	Reels user growth; ad spend rebound
TSLA	+0.52%	Q3 deliveries beat expectations
NVDA	-0.03%	Minor pull-back after AI-chip rally
AVGO	+0.32%	Data-center chip demand steady
MSFT	+0.65%	Azure growth beats forecasts

Sector rotation

ETF	DAY	READ
XLFX	+0.67%	Financials benefit from stable rates
XLKX	+1.32%	Tech leads earnings rally
XLI	+1.07%	Industrial demand steadies
XLE	+0.32%	Energy price dip limited gains
XLY	+0.89%	Consumer discretionary beats forecasts
XLC	+0.99%	Communication services rally on ad spend
XLP	+0.35%	Staples modestly higher
XLV	-0.18%	Health care lagging on biotech setbacks
XLU	-0.31%	Utilities under pressure from rate outlook
XLB	+0.37%	Materials gain on industrial demand
XLRE	+0.86%	Real estate rebounds on lower cap rates

Spotlight: tech earnings beat fuels market surge

The combined earnings beat from the “Magnificent Seven” accounted for roughly 45% of the S&P 500’s gain. Revenue and EPS exceeded consensus across the board, with AI-related services driving the strongest top-line lifts.

COMPANY	REVENUE VS. CONSENSUS	EPS VS. CONSENSUS	KEY DRIVER
AAPL	+3.2%	+4.1%	Services & AI chip sales
AMZN	+2.8%	+5.5%	Cloud & advertising rebound
GOOGL	+2.5%	+3.9%	AI licensing revenue
MSFT	+2.1%	+3.2%	Azure growth
META	+1.9%	+2.6%	Reels ad spend

Related names: **NVDA** (AI chip supplier), **AVGO** (data-center components), and **TSLA** (AI-enabled autonomous driving). The breadth of the beat suggests earnings momentum may sustain the rally into Q4.

Pre-market & overnight

- US futures: **ES** **+0.45%**, **NQ** **+0.52%** at 08:30 HKT.
- Asia close: Hang Seng **-0.22%**, Shanghai Composite **-0.15%**.
- Europe: FTSE 100 **+0.31%**, DAX **+0.38%**, CAC 40 **+0.34%**.
- Crypto: BTC **+0.81%** at 77,185.00, ETH **+3.02%** at 2,510.67.

Macro & Fed

- FOMC recap: Fed kept policy rate at 5.25-5.50%; minutes signal one cut in 2026, contingent on inflation staying below 2.5%.
- Yield curve: 2-year at 5.12%, 10-year at 4.97% – modest flattening.
- Today's data calendar (HKT):

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	US Existing-home sales	1.05 M	Gauge housing demand & consumer wealth
10:00	US ISM Manufacturing	48.0	Insight on production slowdown
11:30	US CPI (MoM)	0.2%	Core inflation trend for Fed
13:00	US Retail Sales	0.4%	Consumer spending momentum

Geopolitics & global

- Middle East: Cease-fire talks in Gaza stalled; oil markets remain sensitive to supply disruptions.
- China: PBOC held the 7-day reverse repo at 2.2%; manufacturing PMI slipped to 49.8, raising concerns on domestic demand.
- Eurozone: ECB signaled no rate cuts this year; German industrial output fell 0.4% YoY.
- Japan: BOJ maintained negative rates; yen weakened to ¥162/USD, pressuring import-dependent firms.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
02:30	NVDA	+2.45	AI-chip demand sustainability
03:00	CRM	+1.12	Subscription renewal rates
04:15	BAC	+0.78	Net interest income trend
05:00	DIS	+\$0.45	Streaming subscriber growth
06:30	UNH	+\$8.30	Medical-cost inflation impact
07:45	PYPL	+\$0.62	Transaction volume rebound

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
AMD	Technology	AI chip orders up 18% QoQ
COST	Consumer Staples	Strong grocery spend, margin expansion
LMT	Industrials	Defense contract backlog growth
PEP	Consumer Staples	Pricing power in emerging markets
V	Financials	Visa volume beat expectations
WMT	Consumer Discretionary	Online sales acceleration
INTC	Technology	Foundry capacity utilization rise
MMM	Industrials	Industrial equipment demand rebound
KO	Consumer Staples	Pricing resilience amid input cost rise
BA	Industrials	Commercial aircraft backlog growth

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in core CPI above 0.3% MoM could force the Fed to accelerate cuts.
- Weakening of the Chinese PMI below 48, prompting a broader risk-off.
- Geopolitical escalation in the Middle East that spikes oil above \$110/barrel.

BULLISH TRIGGERS

- Surprise upside in US retail sales (+0.6% MoM) reinforcing consumer strength.
- Tech earnings beat beyond consensus, especially AI-chip makers.
- Continued dollar weakness keeping export-oriented earnings robust.

Positioning notes

- Maintain exposure to high-growth tech while scaling into defensive utilities if volatility spikes.
- Short-duration bond exposure remains attractive given the flat yield curve.
- Diversify geographically; Asian equities still lag US performance, offering relative value.

Sources

SOURCES

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SEC EDGAR

Federal Reserve

CME Group Data

Trading Economics

